



Manufacturing Majors

Tata Consumer Products



Ajit Krishnakumar,
ED & COO, Tata
Consumer Products

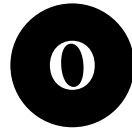


**DIGITAL MANUFACTURING
HELPS IN ROLLING OUT RELEVANT
ENHANCEMENTS TO OUR CAPABILITIES
WHERE RELEVANT"**

Orchestrating Value Chains

**Tata Consumer is scaling manufacturing and
working on supply-chain resilience**

BY KRISHNA GOPALAN



OVER THE PAST few years, Tata Consumer Products has had an interesting journey. A combination of smart buyouts, strengthening existing categories and entering new territories has helped growth take off.

Ajit Krishnakumar, the company's ED & COO, expects this momentum to continue. A key ingredient in this success has been the company's approach to manufacturing. In the past four years, its manufacturing footprint has doubled. "We have built manufacturing redundancy into more than 90% of our SKU (stock keeping units) portfolio. This network design gives us the flexibility to rapidly respond to demand shifts, scale production and ensure continuity of supply," he says.

For him, this is not hard to grasp, since manufacturing is viewed as a key growth enabler. "We have successfully commercialised a pace of an innovation a week, enabling us to rapidly translate consumer insights into products on shelf," he explains.

That process is not easy when there is a need to develop distinctive capabilities in manufacturing innovative products.

A lot of time and effort goes into operating a differentiated supply-chain strategy. "Rather than relying on a one-size-fits-all model, we employ a segmented approach with category-specific decisions around make-versus-buy and the appropriate degree of vertical integration," he says.

Technology also makes a difference, and he cites continuous improvement and digital manufacturing as important competitive moats. "That helps in rolling out relevant enhancements to our capabilities where relevant."

An example is the company's instant coffee operations, which, he claims, have delivered globally benchmarked performance in yield, OEE (overall equipment effectiveness) and energy-intensity reduction through sensorised factories and IoT-enabled analytics. Consequently, the company has seen meaningful savings in energy-intensive coffee operations.

This brings the focus to Tata Consumer's manufacturing advantage. Krishnakumar says it goes well beyond just operating factories efficiently. "It lies in our ability to orchestrate highly diverse and complex value chains, commercialise innovation at speed, build resilience into the network and leverage digital technologies for productivity. **BT**

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